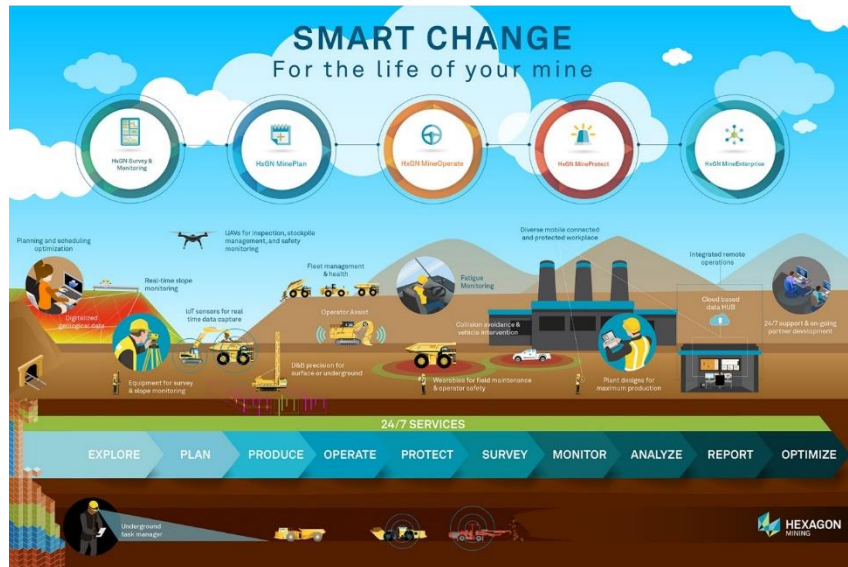


Clearances and Approvals for Mining Projects for mine plan

By

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- Clearances and Approvals for Mining Projects for mine plan - FC, EC, LA and others



Approvals

- ▶ Approval of Mining Plan and Mine Closure Plan,
- ▶ Grant of Mining Lease,
- ▶ Environment and Forest Clearances,
- ▶ Wild Life Clearance, Safety,
- ▶ Rehabilitation of project affected families,
- ▶ welfare of workers etc. are prerequisite for starting of a mine.
- ▶ These clearances are being granted by various **Central Ministries and State Government** departments/agencies. Some of the clearances have their online portals; still most of the clearances are being given through offline mode. The project proponents are required to approach different administrative ministries and Government departments separately to apply for the requisite clearances leading to delay in operationalization of mines.
- ▶ As part of the Government of India's decision to digitize the clearances, Ministry of Coal has conceptualized a Single Window Clearance System, through which a project proponent can apply for requisite clearances with a single registration interface. The portal is proposed to map applications and their respective process flows for grant of all the statutory clearances required (covering Central Ministries as well as State Government departments/agencies) for starting of a Coal Mine.
- ▶ To facilitate ease of doing business, a unified platform of SWCS is designed to grant the requisite clearances and approvals required for starting a coal mine in India. This is also being integrated with **PARIVESH portal of the Ministry of Environment, Forest and Climate Change for more effective benefit.**



Mining in India: overview

- ▶ Mining is a major economic activity in India and accounted for 2% of the country's gross value added (GVA) for the third quarter of 2019 to 2020. The sector provides the basic raw materials required by several manufacturing and infrastructure industries in the country.
- ▶ India produces 95 minerals, including: Four fuel-related minerals, Ten metallic minerals, 23 non-metallic minerals, Three atomic minerals, 55 minor minerals (including building and other minerals).
- ▶ Globally, India is ranked as one of the leading producers of valuable minerals such as chromite, iron ore, coal and bauxite.
- ▶ The mining sector in India is highly regulated and the legal framework has undergone significant changes in the past five years, the result of which is a more transparent and efficient regime.

Some of the recent developments in the sector include:

- ▶ **The Mineral Laws (Amendment) Act 2020.** This amends the Mines and Minerals (Development and Regulation) Act 1957 (MMDR Act) and the Coal Mines (Special Provisions) Act 2015 (CMSPA). The amendments to the MMDR Act, among other things:
 - ▶ enables State governments to take advance actions for the auction of a mining lease before its expiry;
 - ▶ provides for approvals, licences and clearances of the previous lessee to be automatically transferred to the new lessee for a period of two years from the date of grant of the new lease; and
 - ▶ allows holders of a non-exclusive reconnaissance permit to apply for other licences.

- ▶ **National Mineral Policy 2019.** This policy replaces the National Mineral Policy 2008. The policy was introduced with the aim to increase transparency and enforcement, and implement sustainable mining practices. Among other things, the policy includes incentives to attract private investment and state-of-the-art technology through rights of first refusal at auction and opportunities for the private sector to take up exploration activities. The policy also emphasises strengthening the regulatory mechanism by incorporating e-governance systems to:
 - ▶ prevent illegal mining and value leakages;
 - ▶ facilitate end-to-end accounting of mineral ore in the supply chain;
- ▶ increase awareness and information campaigns to involve local populations, to supplement law enforcement capabilities in preventing illegal mining.

- ▶ **The Mineral Conservation and Development (Amendment) Rules 2018.** These rules aim to ensure that mineral production is not affected by the expiry of existing mining leases. The rules require general exploration (G2) to be carried out by 1 April 2019 for all mining leases (other than coal, lignite and atomic minerals) used for non-captive purposes expiring in March 2020. The amendment also lays down timelines for the implementation of exploration plans to ensure seamless transition on the expiry of existing mining leases.
- ▶ **The Mineral (Auction) Amendment Rules 2017.** These rules were notified on 30 November 2017 to expedite the auction process for major minerals (other than coal, petroleum and natural gas). The amended rules require flexibility in block allocations in the second round, rather than waiting until the fourth round as was usual under the old rules, which had resulted in a significant number of blocks being annulled. In addition, the net-worth requirement for bidders has also been relaxed.

- ▶ **Pro-Active and Responsive facilitation by Interactive and Virtuous Environmental Single window Hub (PARIVESH).** PARIVESH is a single-window integrated environmental management system, launched by the Ministry of Environment, Forest and Climate Change as part of the wider "Digital India" governmental initiative. PARIVESH seeks to automate the entire process of submitting and tracking applications for various types of clearances (such as environmental, forest, wildlife and coastal regulation zone clearances) submitted by project proponents to the MOEFCC, as well as to the State Level Environmental Impact Assessment Authorities.
- ▶ **Ban on illegal mining in the State of Goa.** In February 2018, the Supreme Court of India set aside second renewals of mining leases granted by the State of Goa that were issued in violation of the applicable law. The Court directed that mining operations in the State be resumed only after fresh mining leases (not fresh renewals or other renewals) and fresh environmental clearances were granted in accordance with the provisions of the Mines & Minerals (Development and Regulation) Act 1957.

Regulatory framework for the exploration and extraction of mineral resources

- ▶ **Mineral Concession Rules 1960 (MC Rules).** These rules outline the framework for, among other things, granting concessions, rejecting applications, maintaining accounts and the submission of reports to the State governments.
- ▶ **Mineral Conservation and Development Rules 2017 (MCD Rules).** These rules prescribe the conditions for ensuring that mining is undertaken on a scientific basis while conserving the environment.
- ▶ **Mineral (Auction) Rules 2015 (Auction Rules).** These rules provide the framework for granting concessions for major minerals through an online electronic auction process.
- ▶ **Mines Act.** This Act defines the requirements for labour safety and working conditions in mines and contains provisions for the management and conduct of mining operations.
- ▶ **Mines Rules.** These rules lay down the framework for ensuring the welfare, health and safety of labourers employed in mines.

- ▶ **Offshore Areas Mineral (Development and Regulation) Act 2002 (OAMDR Act).** This Act regulates the development of mineral resources in offshore areas, including territorial waters, the continental shelf, exclusive economic zones and other Indian maritime zones.
- ▶ **Offshore Areas Mineral Concession Rules 2006 (OAMDR Rules).** These rules lay down the process for the grant and renewal of concessions in respect of mineral resources in offshore areas.
- ▶ **Mines and Minerals (Contribution to District Mineral Foundation) Rules 2015.** These rules specify the amount to be paid by a holder of a mining lease or prospecting licence/mining lease to the relevant District Mineral Foundation.
- ▶ **Coal Block Allocation Rules 2017 (Coal Block Allocation Rules).** These rules prescribe the terms and conditions for auction by competitive bidding for the allotment of coal blocks.
- ▶ **Foreign Direct Investment Policy, as amended from time to time (FDI Policy).** The FDI Policy is a framework for foreign direct investment in different sectors in India, including the mining sector

Regulatory authorities

- ▶ The regulatory authorities relevant to mining are:
- ▶ **State governments.** Each State government has the power to grant mineral concessions and collect royalties, dead rent and fees within the State in accordance with the provisions of MMDR Act.
- ▶ **Ministry of Mines (MoM).** The MoM is the primary body responsible for administration of mining in India. It is responsible for:
 - ▶ survey and exploration of all minerals (other than coal, natural gases and petroleum);
 - ▶ mining and metallurgy of non-ferrous metals; and
 - ▶ administration of the MMDR Act.
- ▶ **Indian Bureau of Mines (IBM).** The IBM is a subordinate office of the MoM and is mainly responsible for regulating and ensuring systematic development of mining in India. It is engaged in the promotion, conservation and scientific development of mineral resources, while ensuring protection of the environment.
- ▶ **Ministry of Coal (MoC).** The MoC administers the exploration of coal in India and is responsible for ensuring that exploration activities are carried out in a sustainable manner. It is also engaged in the development of the infrastructure necessary for prompt coal supplies to meet other sectors' demands.
- ▶ **Ministry of Petroleum and Natural Gas (MoPN).** The MoPN was established under the Petroleum and Natural Gas Regulatory Board Act 2006 to govern the exploration and exploitation of petroleum resources, including natural gas. It oversees the production, supply, distribution, marketing and pricing of petroleum products and natural gas. It is also engaged in the planning, development and control of, and assistance to, all industries dealt with by the MoPN.
- ▶ **Ministry of Environment, Forest and Climate Change (MOEFCC).** The MoEFCC is the agency responsible for the planning and implementation of India's environmental and forestry policies and programmes. A project proponent must obtain environmental clearance from the MoEFCC to undertake a mining project in India.

Ownership-rights to the mineral resources held

- ▶ **Proprietary rights:** The State governments are successors to the properties, assets and rights, and liabilities and obligations, of the governments that previously ruled the area within the boundaries of the State.
- ▶ **Entry rights:** The holders of concessions under the MMDR Act have the right to enter the land over which the concession has been granted and to carry all activities set out in the concession. The holder of the concession must pay compensation as set out in the concession to the occupier of the surface of the land for any loss or damage that is likely to arise or has arisen from or in consequence of its reconnaissance, prospecting or mining operations.

Authorisation

The following concessions are issued by the relevant State government for the purpose of exploration and mining of minerals (other than atomic minerals) under the MMDR Act:

- ▶ **Reconnaissance permit and Non-Exclusive Reconnaissance Permit (NERP).** This permit is granted for the purpose of undertaking preliminary prospecting of a mineral through regional, aerial, geophysical or geochemical surveys and geological mapping.
- ▶ **Prospecting licence.** A prospecting licence is a concession to undertake prospecting operations, including exploring, locating and proving mineral deposits.
- ▶ **Composite (prospecting/mining) licence.** The composite licence is a two-stage concession where prospecting is followed by mining operations.
- ▶ **Mining lease.** This is a lease allowing mining operations within the boundaries of the State. It allows for the grant of sub-leases for mining operations.

The central government can formulate rules for regulating the grant of mineral concessions in respect of atomic minerals, and the State government must then grant the concession in accordance with the rules formulated by the central government.

Lease/licence/concession term

- ▶ Reconnaissance permits (including NERPs) and prospecting licences can be granted for any mineral for a **maximum period of three years**. There is no provision for the extension of a reconnaissance permit. However, a **prospecting licence can be renewed by the relevant State government for a period not exceeding five years**. Renewals of prospecting licences granted in respect of coal, lignite and atomic minerals are subject to approval by the central government.
- ▶ **Mining leases for minerals other than coal, lignite and atomic minerals are granted for a period of 50 years**. On the expiry of the lease period, the lease must be put up for auction under the procedure specified by the MMDR Act. If the mineral is used for captive consumption, the holder of the lease has the right of first refusal at the auction after expiry of the lease period.
- ▶ **A mining lease in respect of coal and lignite is granted for a minimum period of 20 years and a maximum period of 30 years**. Renewal is subject to approval by the central government. On the expiry of the lease period, the lease can be put up for auction and allotted under the procedure specified in the MMDR Act and the Coal Block Allocation Rules.

Fees

- ▶ **NERPs and reconnaissance permits.** The online application for a NERP must be accompanied by a fee of INR1000 per square kilometre. If the application is rejected, the fee is refunded to the applicant less a 10% deduction.
- ▶ An application for reconnaissance permit (other than NERP) must be accompanied by a non-refundable fee of INR5 per square kilometre. The holder of the reconnaissance permit must also pay an annual permit fee fixed by the relevant State government of between INR5 and INR20 per square kilometre of land held under the permit.
- ▶ **Prospecting licence.** An application for a prospecting licence (other than composite licence) and its renewal must be accompanied by a non-refundable fee of INR250 for the first square kilometre or any part thereof, and INR50 for every additional square kilometre of the area over which the prospecting licence is applied for. In addition, the holder of the prospecting licence must also pay an annual prospecting fee fixed by the relevant State government of between INR1 and INR10 per hectare of land covered by the licence.
- ▶ **Composite licence.** The preferred bidder must pay to the relevant State government an amount of 0.25% of the value of the estimated resources as performance security before the issue of a composite licence. For a subsequent grant of a mining lease, the holder of the prospecting licence must follow the procedure and make payments as for a mining lease (*see below*).
- ▶ **Mining lease.** For mining leases for minerals (other than minor minerals, coal, lignite and atomic minerals) granted by the relevant State government through auction, an upfront payment equivalent to 0.5% of the value of the estimated resources must be made by the preferred bidder. The upfront payment must be made to the relevant State government in three instalments of 10%, 10% and 80%, and can be adjusted on the commencement of production of minerals. In addition, the preferred bidder must also provide a performance security of an amount of 0.5% of the value of the estimated resources, which is adjusted every five years so that it corresponds to 0.5% of the reassessed value of the estimated resources.
- ▶ An application for a mining lease for minor minerals must be accompanied by a non-refundable fee of INR2500 and deposit of INR1,000 to meet the preliminary expenses in connection with the grant. A further security deposit of INR10,000 must be made on the grant of the mining lease.

Liability

- ▶ **Reconnaissance permit.** The primary obligations of the holder of a reconnaissance permit, including a NERP, are:
 - ▶ Progressively relinquishing the area granted under the permit.
 - ▶ Adhering to the minimum expenditure commitment and specific physical targets specified in the permit grant, failing which the permit may be cancelled.
 - ▶ Making available all data collected during the reconnaissance operations to the Geological Survey of India, Indian Bureau of Mines and State government.
 - ▶ Maintaining an accurate and faithful account of all the expenses incurred on the reconnaissance operations and allowing every authorised officer to examine accounts and other relevant information it maintains.
 - ▶ Submitting periodic reports of the work done during the period of the reconnaissance permit to the State government, covering the work and all other relevant information obtained in the course of reconnaissance.
- ▶ **Prospecting licence.** The primary obligations of a prospecting licensee include:
 - ▶ Reporting the discovery of any mineral not specified in the licence to the relevant State government within 60 days of discovery.
 - ▶ Transferring the licence only with previous approval from the State government.
 - ▶ Paying wages as prescribed in the Minimum Wages Act 1948.
 - ▶ Planting not less than twice the number of trees destroyed by prospecting operations and trying to restore other flora destroyed by prospecting operations to the extent possible.
 - ▶ Paying to the occupier of the surface of the land any compensation that becomes payable under the rules.

- ▶ **Composite licence.** A composite licence holder must observe the obligations imposed on the holder of a prospecting licence, followed by the obligations of the holder of a mining lease, if a mining lease is issued.
- ▶ **Mining lease.** The holder of a mining lease must observe the following conditions:
- ▶ Report to the relevant State government the discovery of any mineral in the leased area that is not specified in the lease within 60 days of discovery.
- ▶ Commence mining operations within one year from the date of execution of the lease and ensure that the operations are conducted in a proper manner.
- ▶ Erect, maintain and keep in good repair boundary marks and pillars necessary to indicate the demarcation shown in the plan annexed to the lease.
- ▶ Keep accurate accounts showing the quantity and other particulars of all minerals obtained and dispatched from the mine and allow any authorised officer to examine the accounts, plans and records the lease holder maintains.
- ▶ Give employment preference to tribal persons and other persons who become displaced as a result of mining operations.
- ▶ Pay to the occupier of the surface of the land any compensation that becomes payable under the applicable rules.

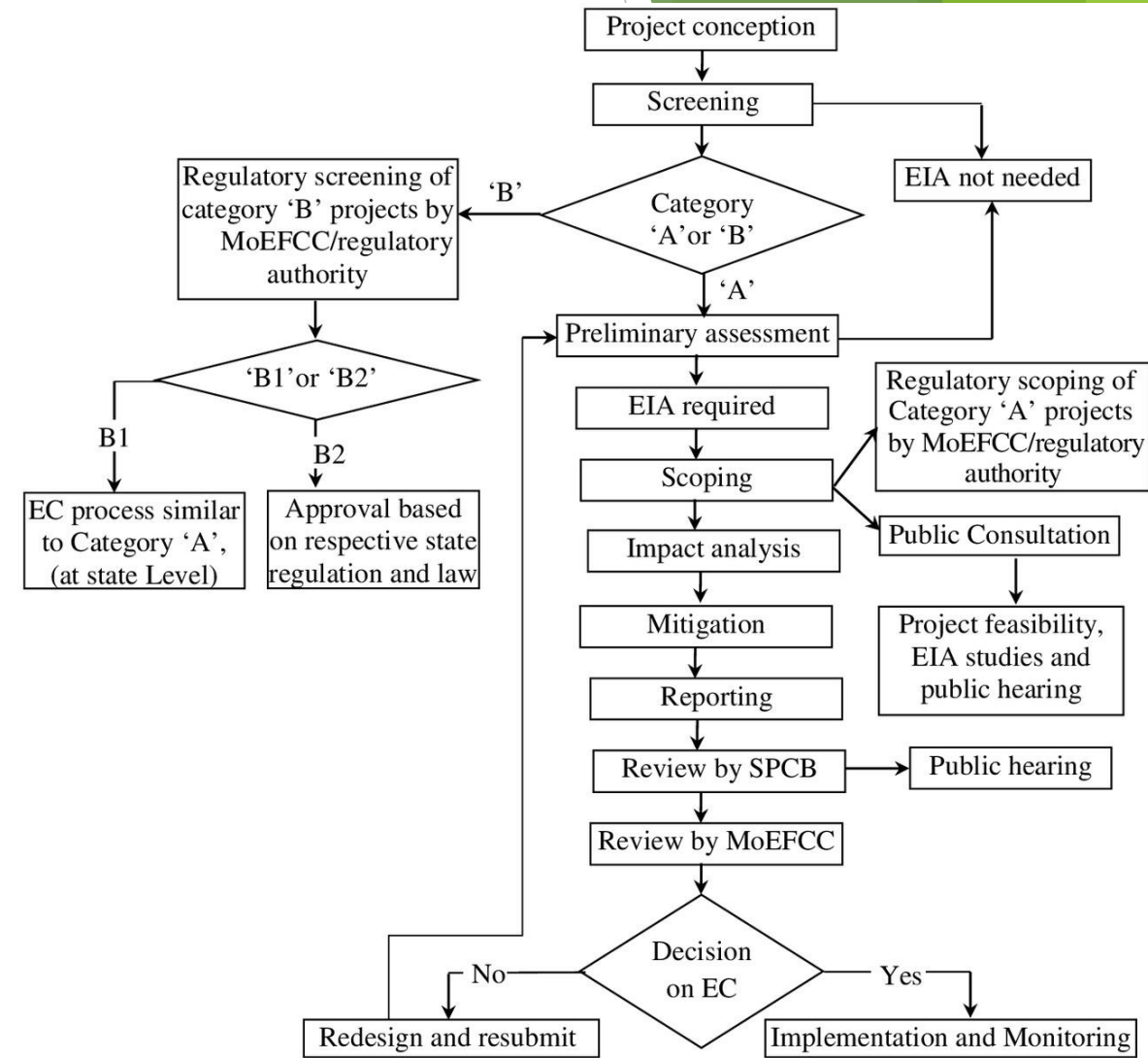
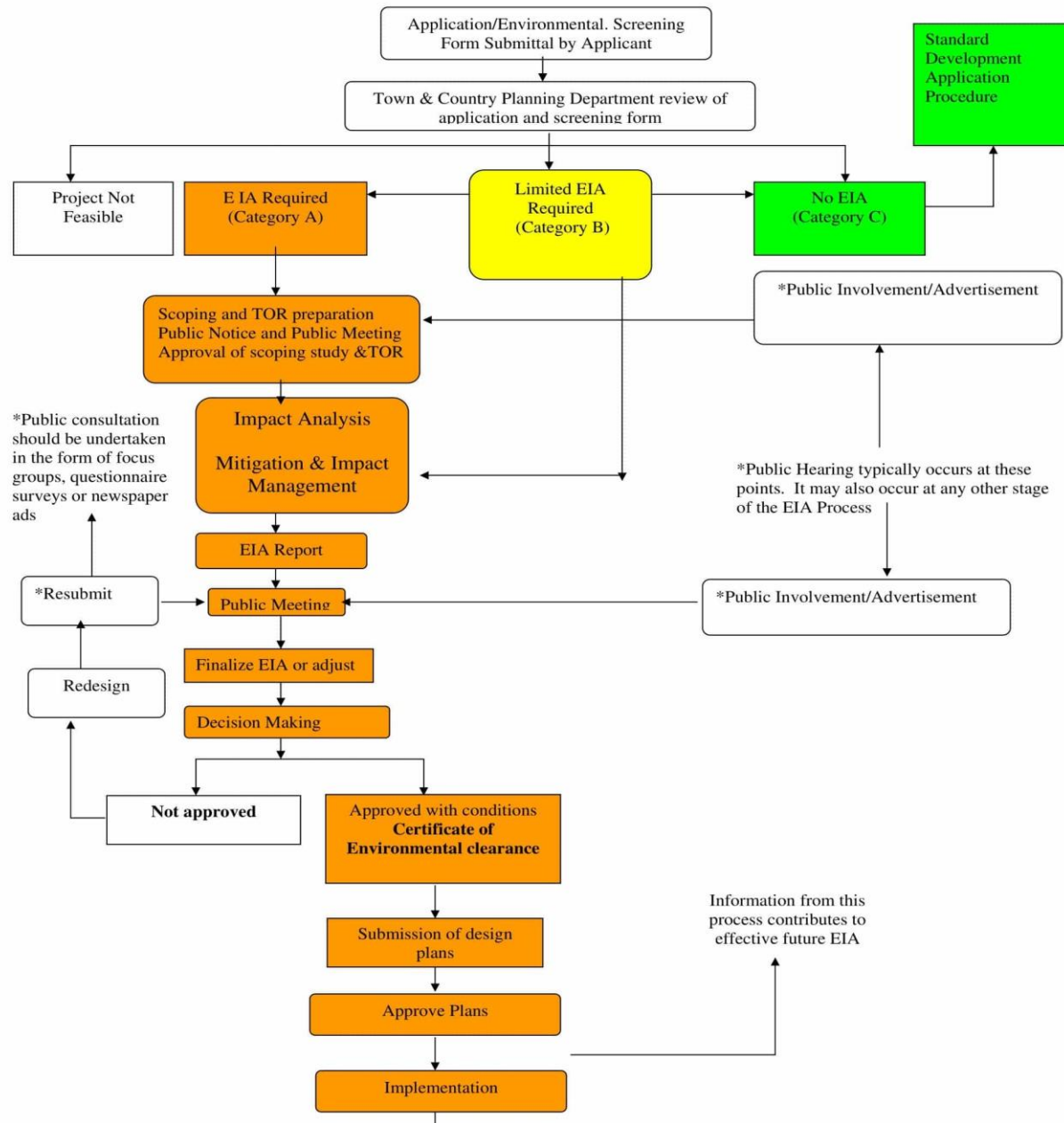
leases, licences or concessions awarded

The process involved in the issue of concessions for the purpose of exploration and mining of minerals (other than coal, lignite and atomic minerals) is as follows:

- ▶ **NERP.** An interested applicant must submit an online application to the relevant State government in a prescribed format, accompanied by the prescribed fee (*Non-exclusive Reconnaissance Permit Rules 2015*). The State government grants the NERP within 30 days from the date of filing of a successful application. The State government also specifies the validity period of the NERP at the time of grant.
- ▶ **Reconnaissance permit and Prospecting Licence.** An interested applicant must submit an application to the relevant State government in a prescribed format, accompanied by the prescribed fee (*MMDR Act*). The State government, having regard to the provisions of the *MMDR Act*, grants the permit or licence.
- ▶ **Mining lease.** The relevant State government grants mining lease through an online electronic auction process where bidders must quote a percentage of the value of minerals to be recovered that they are willing to share with the State government (*Auction Rules*). The bidder who submits the highest final price offer is granted the mining lease on meeting the following further requirements:
 - ▶ submission of timely instalments;
 - ▶ showing performance security;
 - ▶ obtaining various approvals; and
 - ▶ satisfaction of prescribed eligibility conditions.
- ▶ **Composite licence.** A composite licence is also granted through a similar online auction process as for the grant of a mining lease. The concessionaire must complete the prescribed level of prospecting within three years, which can be further extended by two years. Thereafter, for the grant of a mining lease, holders of a prospecting licence must first establish economically extractable mineral content in the area, after which they must follow similar procedures and make payments as for a mining lease.

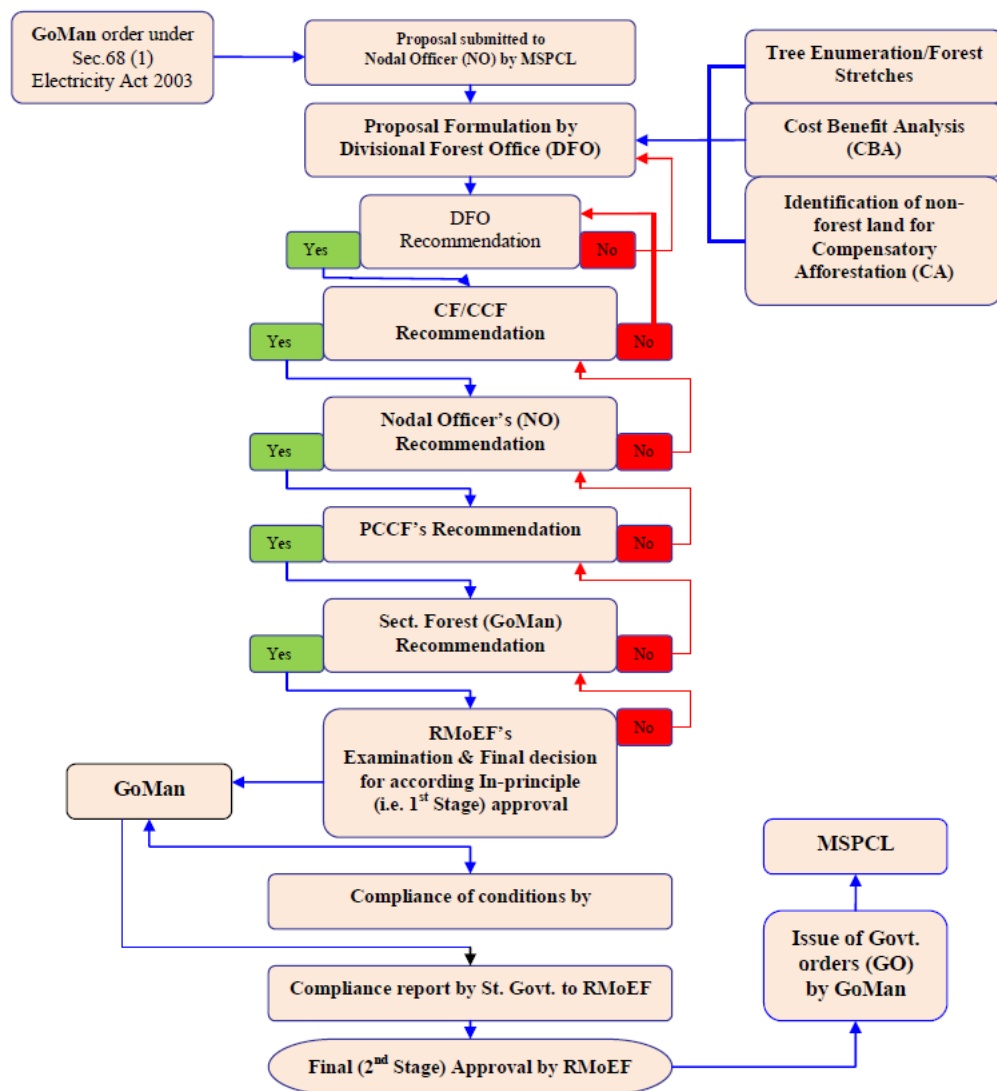
- ▶ Mine plan format:
- ▶ [Mining Plan Format \(A & B Category Mines\) -.pdf](#)

Generalized EIA Process Flowchart



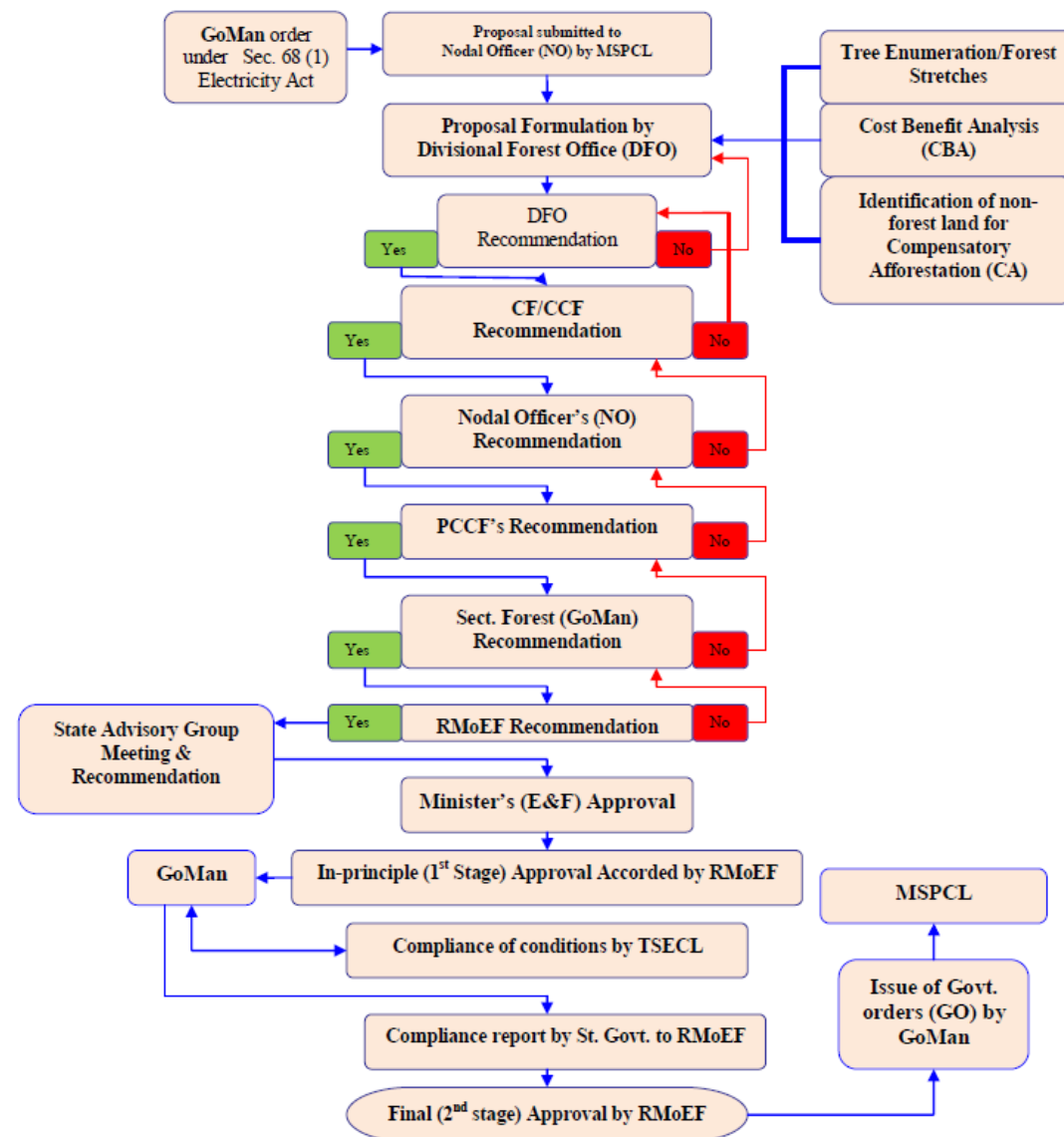
FOREST CLEARANCE PROCESS (Forest Area up to 5 Hectares)

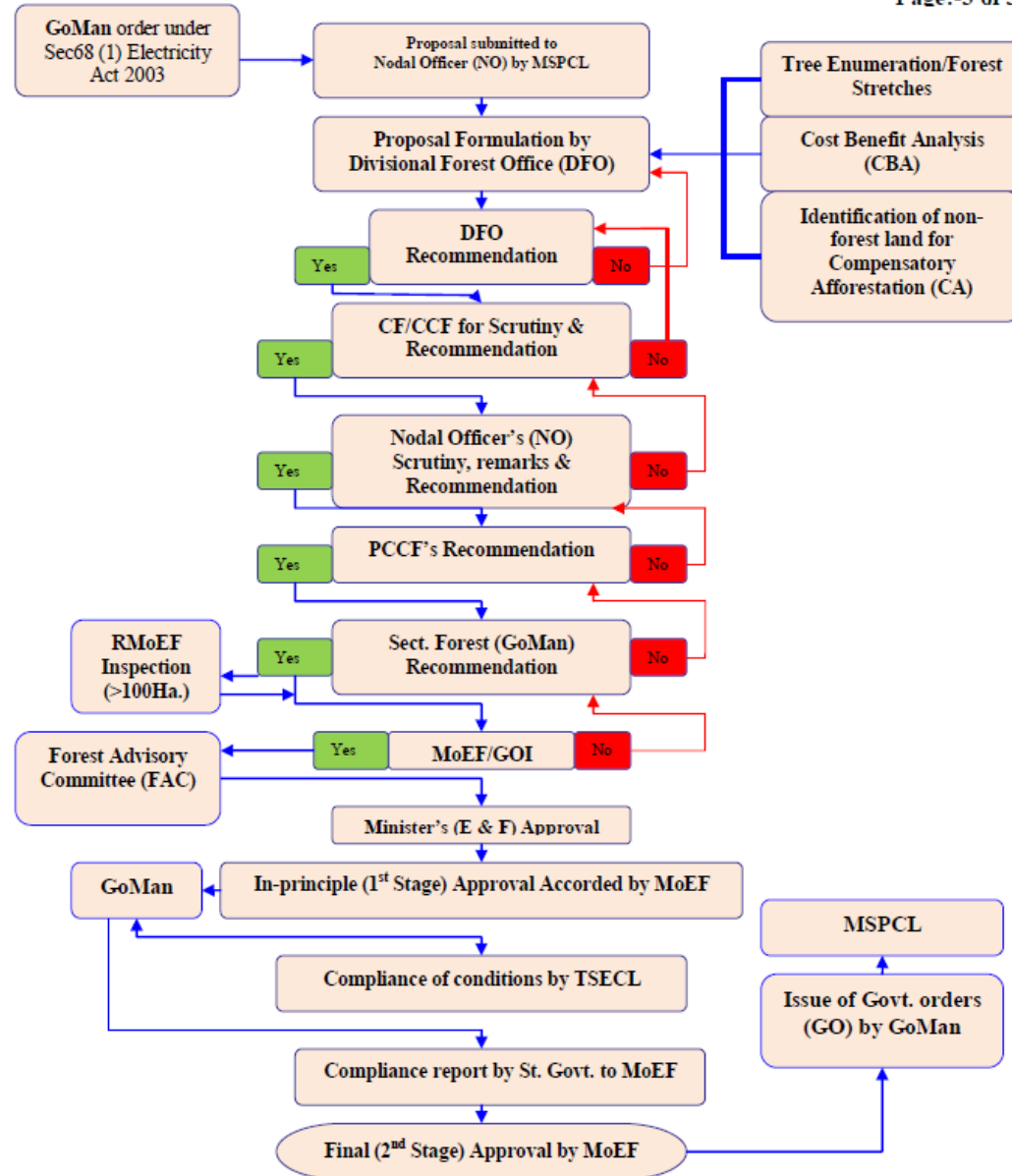
Annexure- 9
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FOREST CLEARANCE PROCESS (Forest Area more than 5 up to 40 Hectare)

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Thanks

Why autonomy (and unmanned)?

